LEARNING CENTRE

A DEGREE OF SELF-INSURANCE

How you can reduce your premium outgo with certain types of insurance policies by opting to pay a portion of your claim

We all love to save money in our own ways, especially when it comes to choosing financial products and services. For instance, when it comes to insurance, some people buy a smaller cover than what they need to save money. Likewise, some people end up buying a policy that may not fully cover the kind of risk they need covered. To overcome this dilemma, insurance, especially general insurance, which includes policies that cover healthcare, property or automobiles, have a provision of a 'deductible'.



Illustration by SIDDHANT JUMDE

Insurance deductible is the amount of money you pay when you raise an insurance claim, before the insurer starts to pay towards the claim. Simply put, when a claim arises, you agree that the insurer will pay up only when the claim amount crosses a pre-agreed threshold. The insurer pays for the claim above this threshold subject to the terms and conditions of the policy and the limits of the insurance cover. This threshold is the deductible that you agree to pay for when a claim arises. You could think of it as the extent of self-insurance that you willingly pay for at the time of a claim.

For instance, in case of a health insurance cover of Rs 5 lakh with Rs 20,000 deductible, if a claim of Rs 1.3 lakh arises; you pay Rs 20,000, which is the deductible component and the insurer pays the remaining Rs 1.1 lakh, assuming the claim covers the risk covered under the policy. Usually, the higher the limit on the deductible, the lower the annual premium cost on the policy. Deductible is a way to reduce your premium outgo, but not at the expense of finding it difficult to afford it when a claim actually arises.

POLICIES TO OPT FOR DEDUCTIBLES

- Health insurance
- Motor insurance
- Property insurance
- Marine insurance

Within health insurance policies, there are two types of deductibles—compulsory and voluntary deductible. Each of these has a unique advantage. Compulsory deductible is mandatory and is fixed by the insurer. It is a fixed amount that has to be paid by the insurer on every claim you raise. Then there is voluntary deductible, which you opt for to reduce the premium outgo on the insurance policy. In case of a family health floater insurance cover, a cumulative deductible comes into play. In this deductible, the insurer applies deductibles on all members of the family who have to pay the total deductible, after which the insurer will pay the balance claim amount.

The purpose of deductible is to discourage you from raising frivolous claims. In the case of motor insurance, the upside of a deductible is a way to dissuade you from raising small claims, which, in turn, helps you earn a no claim bonus (NCB), which in case of a health insurance plan enhances the scope of your insurance cover. When making the choice of a deductible, think of the sum that you can really afford and weigh it with the premium cost that you would incur in case of not opting for the deductible. This is a good start to evaluate the need as well as the quantum of deductible that you could comfortably manage when you raise a claim. ■

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NEXT TIME: Tax refund